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Power, gas outages spark protest on Lyari Expressway

OUR CORRESPONDENT

KARACHI. Gulbahar residents staged a protest on the Lyari Expressway on Thursday against prolonged electricity and gas outages, blocking a major section of the roadway and causing severe traffic congestion across the city.

The demonstrators blocked the carriageway leading from Mauripur to Sohrab Goth, bringing traffic to a standstill and resulting in kilometres-long queues of vehicles. Hundreds of commuters were stranded for hours, with many motorists forced to switch off their engines.

The protest caused widespread disruption on one of Karachi's key traffic corridors, while congestion also spilled over into adjoining roads and intersections. After more than an hour of negotiations, police succeeded in persuading the demonstrators to disperse and reopened the affected section of the Lyari Expressway.

Express Tribune- 11

Riyadh asked again to set up Gwadar refinery

Port city emerges as transit trade hub; however, meeting with Saudi team delayed

ZAFAR BHUTTA
ISLAMABAD

With increasing trade and business activities at Gwadar, Pakistan has again pushed Saudi Arabia to set up an oil refinery worth $10 billion in the port city.

Activity at Gwadar Port has jumped up to 30% in recent months in the backdrop of US-Israel-Iran war as more and more ships arrive at Pakistani ports for transshipment. Gwadar has emerged as a transit hub and a further rise in activities is expected in the coming months.

Pakistan's government is currently looking towards Saudi Arabia, which earlier explored the potential of establishing an oil refinery and strategic fuel reserves at Gwadar Port.

Officials from both countries were scheduled to engage in meetings on Thursday but those were cancelled.

The minister for maritime affairs and other officials of the ministry recently offered several projects to the kingdom, particularly the development of an oil refinery at Gwadar, during an online meeting with Pakistan-Saudi Arabia Joint Business Council Chairman Mansour bin Mohammed Al Saud and other participants.

The business council chairman was set to lead a Saudi team for further discussions with Pakistani authorities on Thursday but the meeting was postponed.

The Pakistani side has also sought Saudi investment in liquefied petroleum gas (LPG) and liquefied natural gas (LNG) terminals at Karachi Port. The maritime minister has got vacated 100 acres of land at the port, which he is seeking to offer to industries. Saudi Arabia has also shown interest in setting up a petrochemical complex there.

The Special Investment Facilitation Council (SIFC) is taking the lead to secure investment from Saudi Arabia. Crown Prince Mohammed bin Salman visited Islamabad in 2019, when he announced potential investments of $20 billion. Of the total, Riyadh was to inject $10 billion into setting up an oil refinery.

However, the investment did not arrive. Now, Pakistan and Saudi Arabia have signed a defence pact and following the US-Iran war, the two countries have inched closer. Therefore, Pakistan feels it is the right time Saudi Arabia makes the stalled investment.

Saudi investors have two key observations about the investment environment in Pakistan. First is the inconsistency of policies and the second is bureaucratic hurdles that are impeding capital inflows.

Pakistan has already approved an oil refinery policy to pave the way for Saudi investment while the SIFC is striving to dismantle bureaucratic hurdles. According to sources, upcoming discussions between the two countries are expected to unlock the investment potential.

Pakistan has also offered Saudi Arabia to acquire 15% shares in the $100 billion Reko Diq copper and gold mining project in Balochistan. Additionally, an Energy City has been planned for Gwadar Port, where the government has offered oil-producing nations to build strategic reserves.

Saudi Arabia is a major oil producer that could develop strategic reserves in Pakistan. Oil-producing countries could not only maintain the reserves but they could also export to other countries, officials said, adding, however, that the first right of use would remain with Pakistan's government.

Petroleum Minister Ali Pervaiz Malik has held meetings with ambassadors of different countries to encourage them to set up strategic oil reserves. According to him, Pakistan will also offer tax holiday to the investors building oil deposits in the country.

Pakistan is the only country in the region that has no strategic reserves. It is just keeping commercial reserves, which are held by oil marketing companies and oil refineries.

Pakistan Observer

City braces for prolonged spell of extreme heat

OBSERVER REPORT

Provincial hub Karachi is likely to experience an extended period of extremely warm weather beginning today, with meteorologists warning that hot, dusty and humid conditions could persist until at least June 16, bringing discomfort to millions of residents across the city. According to global satellite-based weather forecasts, Pakistan's largest metropolitan center is entering a phase of elevated temperatures accompanied by high humidity levels and dry winds, a combination that can make outdoor conditions feel considerably hotter than recorded temperatures. The forecast indicates that the city may continue to endure scorching daytime conditions over the next two weeks, offering little relief for residents already coping with the onset of summer. Weather experts say the combination of heat and humidity is likely to increase the "feels-like" temperature, making it more challenging for people who work outdoors, including laborers, transport workers and street vendors. Dusty conditions are also expected to affect visibility in some areas and may aggravate respiratory problems among vulnerable groups, including children, the elderly and individuals with pre-existing health conditions. The prolonged warm spell comes at a time when electricity consumption traditionally rises across Karachi, driven by increased use of air conditioners, fans and cooling appliances. Any sustained increase in temperatures could place additional pressure on the city's power infrastructure as residents seek relief from the heat. Health professionals have urged citizens to take precautionary measures, including staying hydrated, avoiding direct sunlight during peak afternoon hours and reducing strenuous outdoor activities whenever possible. Experts also recommend wearing light-colored clothing and ensuring adequate water intake, particularly for children and older adults who are more susceptible to heat-related illnesses. While coastal winds often provide some respite to Karachi during the summer months, current weather models suggest that humidity and warm air masses may continue to dominate conditions through mid-June. Forecasters are closely monitoring developments but indicate that no major weather system is expected to bring significant relief in the immediate future.

Pakistan Observer

JI calls city-wide protest over deepening water crisis

STAFF REPORTER

Jamaat-e-Islami (JI) Karachi has announced a citywide protest (today) Friday over what



it described as an unbearable water crisis affecting large parts of the metropolis, warning that it could also move toward a strike if water supply conditions do not improve. The decision was made during a meeting of district leaders chaired by acting JI Karachi chief and opposition leader in the Karachi Metropolitan Corporation, Saifuddin Advocate, at Idara Noor-e-Haq. Participants reviewed Karachi's deteriorating civic conditions, with a particular focus on the worsening water shortage that has left many residents struggling to access basic supplies. The meeting expressed deep concern over the continued disruption of water supply across the city and strongly criticized the Sindh government, the Karachi mayor, and the Karachi Water and Sewerage Corporation for what it called poor governance, mismanagement, and failure to address the crisis. JI leaders warned that unless immediate steps are taken to restore normal supply, public anger could intensify across the city. Addressing the gathering, Saifuddin Advocate said the mayor, who also serves as chairman of the water utility, bears responsibility for the ongoing crisis. He said water supply has yet to be restored despite repeated assurances and the expiration of an ultimatum previously issued by the party. He announced that Jamaat-e-Islami would organize large-scale demonstrations across Karachi on Friday to protest the situation. "If the water supply situation does not improve, we may also move toward a citywide strike," he said. Saifuddin alleged that a powerful tanker mafia has effectively taken control of water distribution in Karachi. According to him, residents are unable to receive water through regular municipal connections while tanker operators continue to have access to supplies. As a result, many households are being forced to purchase water tankers at high prices to meet daily needs.

Daily Times – A8

Govt rejects reports on 'solar deterrent' tariff, says no plan to penalise industry

The Ministry of Energy (Power Division) on Thursday strongly refuted a media report claiming that the government planned to increase fixed electricity charges to discourage industrial consumers from shifting to solar energy, terming the assertion "factually incorrect and misleading."

In a statement issued here, the Power Division clarified that no proposal had been shared with the International Monetary Fund (IMF) aimed at penalizing industrial consumers for using less than their sanctioned loads or for adopting solar and other off-grid energy solutions.

It said the report was based on a misunderstanding of an optional tariff framework currently under consideration.

The claim made by the author of the story titled "New Power Tariff to Deter Solar Shift", stating that the government has shared a plan with the IMF to substantially increase fixed charges on electricity bills in order to "punish" industrial consumers who use less than their sanctioned loads or have shifted to solar and other off-grid sources, is factually incorrect and misleading.

Prior to the publication of the article, the author contacted the relevant spokesperson and was explicitly informed that the proposed tariff regime under consideration is "optional", not mandatory. Unfortunately, this critical clarification has not been accurately reflected in the published report.

The proposed tariff structure is based on a different cost allocation mechanism, featuring relatively higher fixed charges coupled with lower variable energy charges differentiated across various time periods, including solar generation hours and night-time hours. The objective is to provide consumers with an alternative tariff option that may better align with their operational and consumption patterns.

Industrial consumers will have the freedom to choose whether to opt for this alternative tariff regime or remain on the existing tariff structure. There is no compulsion for any consumer to switch.

Furthermore, the proposed tariff design is intended to benefit process industries and other consumers operating on a 24/7 basis with high utilization factors and stable demand profiles. Such consumers may find the alternative tariff structure more economical and predictable.

Any industrial consumer who determines that the proposed tariff does not suit its operational requirements can simply continue under the existing tariff regime without any adverse consequences. Therefore, the characterization that industrial consumers would be "punished for using less than their sanctioned load or for adopting solar generation is entirely unfounded and represents the author's interpretation rather than the actual policy proposal.

Public discourse on energy sector reforms should be guided by accurate facts and technical understanding.

Mischaracterizing an optional tariff offering as a punitive measure against solar adoption risks creating unnecessary confusion among consumers and stakeholders. APP